

Owen Burke

Python – Applications in Finance

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Assignment III

Step 5: Financial Interpretation

Over the three-year period from February 23rd, 2023, to February 23rd, 2026, Snowflake (SNOW) had no general upward or downward trend in its closing price. The stock price fluctuated over time with certain periods exhibiting growth and others showing decline. This pattern suggests that many times throughout this three-year period, market sentiment surrounding Snowflake changed as did expectations for the company's future performance. The price behavior of Snowflake leads me to believe that Snowflake is a technology company with high growth potential, rather than being a defensive stock.

The daily returns chart indicates that Snowflake experienced moderate volatility over this three-year period. Most daily returns were around 0.00%. However, there were several significant spikes in either direction. These spikes were especially noticeable in late 2024 and in the past month. This suggests that Snowflake was sensitive to news during these periods. For example, there has been a mass selloff of software stocks in early 2026 due to the advancements of Artificial Intelligence. Snowflake has clearly been sensitive to this.

The volume chart shows several noticeable spikes over the past three years. These spikes are in line with spikes in the daily returns chart, as these go hand in hand. This increased trading activity during certain periods.

Significant price movements are often related to earnings announcements made by Snowflake. Other price movers include new product developments, strategic initiatives, or updates regarding Snowflake's growth outlook. Overall market sentiment also influences Snowflake's price.

Based on my analysis, I would classify Snowflake as a moderately risky investment. There seems to be a lot of uncertainty, which is reflected both positively and negatively in the daily returns chart. Snowflake would be classified as a growth stock rather than a defensive stock. Currently, software stocks are largely seen as risky investments due to AI advancements.

